

TNC pitch deck

PITCH — TNC — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: NO ENTRY. No position, no order, no price gate armed. Watch-and-reopen only, on Q3 evidence — both benches reached REJECT/WATCH independently, and the bull case survives only as an unbridged margin-restoration story at roughly today's price.

What we believe

Tennant makes industrial and commercial floor-cleaning machines — scrubbers, sweepers, the equipment that cleans warehouse and airport floors. It is a 155-year-old Minnesota company, NYSE-listed, with a 54-year record of paying and raising its dividend. It is not a fraud risk and it is not a solvency risk. It is a good business having a bad two years.

What we actually believe, stated plainly:

- 1. The company's earnings power really did fall, and a large part of it is self-inflicted.** A botched ERP (accounting/order-management software) implementation broke the order-to-cash cycle. Gross margin fell 260 basis points to 39.5%. First-half adjusted EBITDA was \$64.4M against \$92.0M a year earlier — down 30%.
- 2. The margin structure that the bull case wants back demonstrably existed 18 months ago.** Full-year 2024 adjusted EBITDA was \$208.8M on a 16.2% margin. 2025 was \$167.4M / 13.9%. The trailing-twelve-month figure today is \$139.8M. So there is a real, sourced \$69M gap between what this company earned in 2024 and what it earns now. That is the entire bull case.
- 3. Management has not shown us how it closes.** The full-year guide requires second-half adjusted EBITDA of \$90.6M–\$105.6M, which is +41% to +64% over the first half, with no disclosed bridge and no full-year cash-flow guidance at all. On the revenue line it requires roughly +8–9% organic growth in the second half against –1.2% in the first half, from a business whose unit volumes fell 4.8%.
- 4. And they have stopped telling us how big the problem is.** The ERP damage was sized in dollars in Q4 2025 (\$22M of EBITDA) and again in Q1 2026 (\$23M of sales, \$17M of gross margin). In Q2 2026 — the third quarter of the same problem — there is no dollar figure. The cause is now bundled into “residual ERP inefficiencies, supply constraints, and elevated freight and tariff costs.” Tariffs and European price pressure do not heal when the software gets fixed.

Bottom line: we believe the recovery is possible and we do not believe we are being paid to underwrite it at \$66.38.

What the market believes

The market believes the guidance. At the pack tape of **\$66.38** (source: `ibkr_gw`), with 17,049,303 shares outstanding and net debt of \$282.0M (\$358.9M debt less \$76.9M cash):

Basis	EBITDA	Implied EV/EBITDA at \$66.38
Guide midpoint	\$162.5M	8.7x
Guide low	\$155.0M	9.1x
Trailing twelve months (actual)	\$139.8M	10.1x
First half annualized (run-rate)	\$128.8M	11.0x

Market cap \$1,131.7M; enterprise value **\$1,413.7M**.

So the market is paying 8.7x a number the company has promised but not bridged, which is the same thing as 10.1x the money the business actually makes today. That is not a distressed price for an industrial. The stock is 27.6% off its 52-week high of \$91.66 but only 10.2% above its 52-week low of \$60.22 — the tape has already stopped panicking and settled into “we believe the guide, roughly.”

Why we might have edge

Honestly: **thinner than the screen suggested, and mostly of the arithmetic kind rather than the informational kind.**

- **Nobody appears to have computed the stub.** Both of our own benches initially valued this off the guide midpoint. The available sell-side (Sidoti, Roth, plus a Zacks quant rating) is thin for a \$1.13B company. The specific finding — that the full-year guide requires a +41% half-over-half EBITDA step-up *and* a ~+8–9% second-half organic revenue swing simultaneously, with no bridge published — is simple arithmetic on a public 8-K that we have not seen anyone else print. That is an edge in the sense that being early to a disappointment is an edge. It is a reason not to own it; it is not a reason to be long.
- **Coverage is genuinely light.** Our blue bench argued this is a “discovering,” not a crowded, name. That means if the recovery *does* land, there is room for the multiple to be re-rated by people who aren’t watching yet. That is the only bull-side edge we can honestly claim, and it is contingent, not present.
- **The disclosure-degradation pattern is a real, generalizable signal.** A company that quantifies a self-inflicted problem for two quarters and then stops quantifying it while the margin is still falling is telling you something. We have written this up as a reusable detector. It is not, on its own, a trade.

Why it might be priced in

Most of it is. Symmetrically:

- **You clear almost nothing even if you are right about everything.** Grant the bull case entirely — the ERP heals, the second half delivers the 41% step-up, the guide midpoint prints. At a normal 9x industrial multiple on \$162.5M, the stock is **\$69.24, or +4.3%** from here. At 8x it is **\$59.71, or -10.1%**. That is the whole payoff distribution for “management was telling the truth.”
- **The 27.6% drawdown is not a discount to today’s earnings.** It is a discount to 2024’s earnings, which no longer exist. At 9x the trailing \$139.8M the stock is worth **\$57.26**; at 8x, **\$49.06**. Buying at \$66.38 is already paying up for a recovery that has not started.
- **The dividend and buyback are constrained.** The credit agreement restricts dividends and repurchases above 2.50x leverage. Actual leverage on trailing adjusted EBITDA is **2.02x** — 0.48 turns of headroom. Two more quarters shaped like Q2 put the 54-year dividend streak inside the restricted zone. That is a floor-remover, not a floor.
- **The adjusted number is doing real work.** First-half adjusted EBITDA of \$64.4M compares to roughly \$48.8M unadjusted — about 24% of the headline is add-backs. The 8.7x is on the flattered line.
- **Cash conversion has inverted.** Operating cash flow went from +\$22.1M to **-\$26.2M**, a \$48.3M swing, and the majority of that is earnings, not timing: net income fell from \$33.3M to \$7.8M. Cash earnings (net income plus D&A) fell \$24.3M of the \$48.3M. Collections do not fix that half.
- **Below the EBITDA line leaks.** Gross interest rose from \$6.2M to \$9.6M and the tax rate from 25.2% to 30.5%. EBITDA recovery does not reach earnings per share one-for-one.

What we checked ourselves

Every row below was re-pulled from primary filings, because the machine-built evidence pack’s financial series turned out to be stale (its revenue series ends in Q3 2019). Both benches independently confirmed that and worked around it. **Rows marked “OUR ERROR” are places where our own benches — or the screen that generated this name — got it wrong.**

Claim	How checked	Found	Confirmed?
Enterprise value and multiple	Share count from 10-Q cover (17,049,303 at 7/31/26); debt/cash from balance sheet	EV \$1,413.7M at pack price \$66.38; 8.7x guide-mid, 10.1x trailing	✅ Confirmed
“Sales recovered to 2024 levels; only margin is broken” (original screen brief)	10-Q geographic/organic table	Refuted. Organic revenue is negative in all three regions in H1: Americas -0.7%, EMEA -1.0%, APAC -6.8%; -1.2% consolidated	✅ Confirmed refuted
“The revenue raise is purely euro translation” (red bench)	Same 8-K: the guide is stated as an <i>organic</i> guide of +3.5% to +7.0%	Red was wrong. FX cannot explain an organic guide — OUR ERROR (red)	✅ Corrected by blue
Full-year guide is arithmetically reachable	8-K Ex-99.1 minus reported H1	H2 needs \$90.6M–\$105.6M EBITDA (+41% to +64%) and ~+8–9% organic revenue. No bridge, no cash-flow guide	✅ Confirmed

Claim	How checked	Found	Confirmed?
“\$204.6M ballooned inventory — production ran while shipments stalled” (original brief)	10-Q balance sheets	Refuted. Inventory \$198.5M → \$201.9M, +1.7%. The build is <i>receivables</i> : \$256.8M → \$286.3M. The \$204.6M came from mis-binding a prior period — OUR ERROR (screen brief)	✅ Confirmed refuted
Is the receivables build bearish?	Reasoning check on red’s own finding	Red scored it bearish; blue is right that a receivable on a broken billing system is <i>more</i> collectible than dead inventory. This cuts mildly bullish — OUR ERROR (red, direction)	✅ Corrected
Which covenant binds	10-Q debt note, verbatim	Not the 3.75x default covenant — a 2.50x restricted-payment gate on dividends and buybacks	✅ Confirmed
Actual leverage	Trailing adjusted EBITDA \$139.8M vs net debt \$282.0M	2.02x. Red used 1.85x — an error <i>in the bull’s favor</i> — OUR ERROR (red)	✅ Corrected by blue
“Third straight quarter of debt-funded buybacks” (both benches’ proposed tripwire)	10-Q equity/repurchase disclosure	Already answered, favorably. Q2 repurchases were 5,515 shares. Buybacks have effectively stopped; 2,564,293 shares remain authorized and unused — OUR ERROR (both benches)	✅ Confirmed
Bull target of “\$97.9 at 9x FY24 EBITDA” (blue bench)	Recomputed: \$208.8M × 9 = \$1,879.2M EV, less \$282.0M net debt, ÷ 17.049M shares	\$93.68, not \$97.9. Blue’s headline bull number is ~4.5% too high — OUR ERROR (blue)	✅ Corrected here
Satellite thermal detector on the plants	Pre-registered read on Holland MI, Louisville KY, Uden NL	Louisville −0.53 °C/yr but Holland +0.09 — the two North American sites disagree in sign, so the two-site confirmation red claimed did not hold . Detector is not evidence here — OUR ERROR (red)	✅ Overtaken
Receivable reserve adequacy	10-Q allowance vs gross AR	Coverage fell 4.05% → 3.81% while the P&L booked “lower bad debt expense” as a <i>favorable</i> item. But restoring coverage costs only \$0.7M pretax — a flag, not a number	✅ Confirmed, immaterial
Collection speed	Days-sales-outstanding	75.8 → 80.4 days. This is the real working-capital datum, not the allowance	✅ Confirmed
Did management size the ERP damage this quarter?	Read the Q2 8-K exhibit directly	No dollar figure , after sizing it in each of the two prior quarters. Cause re-bundled with tariffs and freight	✅ Confirmed
Is the trend improving at all?	Organic sequence FY25 → H1’26 → Q2’26	Yes, and both benches nearly missed it: −7.3% → −1.2% → −0.5%, with Americas +1.4% in Q2. Real improvement — but ~9 percentage points short of what the guide needs	✅ Confirmed
Screen input that generated this candidate	Compared screen’s forward-revenue score to filings	Screen scored TNC up on +5.9% forward revenue — an FX- and acquisition-inflated line over negative	✅ Confirmed defect

Claim	How checked	Found	Confirmed?
		organic. Same defect family the lane already logged: growth scores that are not what they appear — OUR ERROR (screen)	
Live price	Pack says src: ibkr_gw, \$66.38	Broker MCP was permission-denied this session; no independent re-quote . The two benches also quoted \$66.76 and \$66.52 — three different prices from one pack. All math above restated at the pack's \$66.38	✗ Not confirmed
Customs/customer connector	Ran customer_id across 2024-01 → 2026-09	Returned empty despite captive plants in Hefei, Uden and Italy. This was the only pre-print instrument on the working-capital question. Scored as a coverage gap, not as evidence either way	✗ Not confirmed

Primary sources: [10-Q, quarter ended 2026-06-30](#) · [8-K Exhibit 99.1, 2026-08-05 earnings release](#) · [EDGAR filing index, CIK 0000097134](#). Both benches had to fetch these through a text proxy because direct SEC requests were blocked; that worked and is now the standing fallback.

PROPOSED ENTRY BANDS

There is no proposed entry. No buy price, no starter, no order staged. What follows are reopen conditions.

The reason there is no price gate is deliberate and worth stating: we do not have a verified fair value for this company. The reported profit number carries 24% add-backs, the revenue line is inflated by currency, and management has stopped quantifying the one problem it had been quantifying. A price gate set today would arm against numbers we have already shown to be distorted — it would buy a stock because it fell, not because it got cheap.

REOPEN — FUNDAMENTAL (primary). Any two of the following in the Q3 report, and we re-court this as a fallen-compounder case immediately:

#	Condition	Where it came from
R1	Organic growth $\geq$ +3% in Americas AND EMEA — organic, not reported	Blue's threshold, stricter than red's "positive in both"
R2	Q3 adjusted EBITDA $\geq$ \$45M with gross margin $>$ 41%	The run-rate required to make the guide low
R3	Q3 operating cash flow $\geq$ +\$40M with DSO back under 76 days and reserve coverage restored to $\geq$ 4.0%	Note the seasonal caveat: H2 2025 operating cash flow was only \$42.9M in total, so this bar is genuinely demanding
R4	Disclosed bank leverage $<$ 1.6x	Red's condition; would prove the covenant risk is gone
R5	A management dollar bridge from \$64.4M H1 to the H2 requirement,	The single thing whose absence killed this

#	Condition	Where it came from
	with the ERP impact re-quantified	

DECLINE AND DROP — any one of: - Q3 adjusted EBITDA < **\$35M** - Disclosed leverage > **2.25x** (i.e. headroom under the 2.50x gate falls below a quarter-turn) - Any dividend reduction, suspension, or covenant amendment

PRICE — observation only, explicitly NOT a bid and NOT an authorization to buy:

Level	What it means	Status
\$57.26	9x the trailing \$139.8M the business actually earns, on the correct share count and net debt. Below this you would be paying a normal industrial multiple for the company as it is, not as promised.	Review trigger only. Re-run R1–R5 early; still no entry without two of them.
\$60.22	The 52-week low.	A break of this <i>without</i> new fundamental information is tape, not information. Do not treat it as a signal.

Two cautions on that \$57.26 level. First, a fall to it would most plausibly be *caused by* a dividend action, and a dividend cut at a 54-year-streak company forces mechanical selling by dividend-mandated funds — bidding into that is bidding into flow we ourselves predicted. Second, the level is derived from an adjusted EBITDA number carrying 24% add-backs; if the add-backs are lower quality than they look, the level is too high.

Sizing, if and only if the reopen conditions clear and a fresh court authorizes entry: a starter of no more than **0.5% of book**, maximum position **1.5%**. Rationale: the downside tail here is bounded — this is a real business with real cash flows, a 1.7% dividend yield, and no solvency question — but there is no verified-fair price, so the name cannot carry a full-conviction weight. Small, on evidence, or not at all.

Catalyst dates: - ~**2026-11-02 — Q3 2026 results.** This date is derived from a data vendor, **not confirmed by any company announcement.** It is corroborated by the company’s own filing cadence (Q3 reports on 2025-11-04, 2024-11-01, 2023-10-31), which makes it credible but not confirmed. Roughly 53 trading days out — we are nowhere near a print, and there is no timing pressure on this decision. - ~**2026-11-04 — Q3 10-Q**, where the leverage ratio, DSO, and reserve coverage are actually disclosed. In this name the 10-Q has been consistently more informative than the press release, and where they conflict, the 10-Q governs.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 60.22 (deck-provisional: 52-week low break — context flag only; a break without new fundamental information is tape, not inform)

- filing watch: 8-K until 2027-02-13 (deck-provisional: any guidance revision, credit-agreement amendment, or dividend action — the 2.50x restricted-payment g)
- dated pack TNC|2026-11-02: TNC: Q3 2026 results and 8-K Ex-99.1 — the decisive test of the +41% H2 EBITDA and ~+8-9% H2 organic requirements; date is vendor-derived, c
- dated pack TNC|2026-11-04: TNC: Q3 2026 10-Q — where leverage, DSO, and reserve coverage are actually disclosed; governs over the press release where they conflict (da

What remains unverified

Stated plainly, because several of these are load-bearing:

1. **The live price.** Broker access was permission-denied this session. Every valuation number in this deck rests on a pack tape of \$66.38 that was not independently re-quoted, and the two benches quoted \$66.76 and \$66.52 against it. Re-quote before any action.
2. **The Q3 date.** 2026-11-02 is vendor-derived. No company release names it.
3. **Insider pledges and recent insider activity.** The proxy was never pulled; the 2026-08-13 Form 4s and the 2026-08-14 13G are unread. This is a genuine, closable gap that two benches left open.
4. **What is inside the 24% of add-backs.** We know first-half adjusted EBITDA is \$64.4M against roughly \$48.8M unadjusted. We have not verified the composition, and every multiple in this deck is computed on the adjusted line.
5. **How much of the damage is really ERP.** Because Q2 gave no quantification, any reconstruction of “volume excluding ERP disruption” is plausible reasoning, not evidence. No conclusion in this deck rests on it, and none should.
6. **Whether an H2 bridge exists at all.** The absence of a bridge and the absence of full-year cash-flow guidance are facts. Whether that reflects a plan management chose not to publish, or the absence of a plan, is unknown.
7. **The seasonality baseline for cash flow.** The \$42.9M figure for H2 2025 operating cash flow comes from one bench and was not independently re-derived. It matters, because it sets how demanding the “\$40M OCF” reopen condition really is.
8. **OSHA establishment records** for the Holland and Louisville plants — never queried. Low expected value here, but stated rather than skipped.
9. **The thermal detector’s underlying data quality.** Absolute excess temperatures are small and the baseline is only a few years. Even setting aside the failed two-site agreement, it should not carry weight in either direction.

One last honest note on where the value of this court actually sits. The verdict — don’t buy it — was reachable from a single arithmetic step: the full-year guide implies a 41% half-over-half step-up that nobody has bridged. The genuinely useful output is the four corrections above where our own machinery was wrong: the screen ranked this name on a currency-inflated growth score, the brief carried a phantom inventory build from a period-binding error, red over-read a satellite detector whose

two sites disagreed and understated leverage in the bull's favor, and blue's headline bull target was 4.5% too high. Both benches also proposed a tripwire against a debt-funded buyback that had already stopped. That is five machinery defects on one name, and they are worth more than the verdict.

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